

U.S. IT Hardware

SanDisk Corp

Rating

Outperform

Price Target



1,700.00 USD (1,250.00 OLD)

1 May 2026

Price Target Change



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Sandisk FQ3'26: Nosebleed ASPs (now locked in); Raise estimates and TP to \$1700, Reiterate Outperform (top ST pick)

Sandisk reported FQ3'26 results yesterday after market close with a strong beat and guide. Stock was down 6% post market at time of writing on the back of +3,264% one year move.

Sandisk delivered a broad-based beat in FQ3. Revenue was up 97% to \$5.95bn (vs. consensus \$4.72bn), driven by ASP up a whopping 140% QoQ while slightly offset by high teens bit shipment decline QoQ. The EPS of \$23.41 beat us, consensus and our bull case.

FQ4 EPS guidance is conservative and reflects new long-term agreements (LTAs). The company guided FQ4 EPS of \$30-33/share, above our estimate of \$25.3 and consensus of \$24.06. However, guidance implies a significant deceleration in ASP change to mid-to-high teens % QoQ. We think this is due to the LTAs locking in prices reducing short term upside in exchange for long term stability, some pull forward of ASP growth in FQ2, and conservatism.

SanDisk has signed 5 LTAs in total — 3 in fiscal Q3 and 2 in Q4 — with active negotiations underway with additional customers. These account for over 1/3 of SanDisk's bits demand in FY2027, with duration up to 5 years. This should **significantly reduce volatility in the price going forward**. In addition, management announced a new \$6bn share repurchase authorization.

Based on the strong earnings, strong guidance, company commentary and the very strong pricing environment **we increase our estimates again substantially** - mainly due to stronger pricing in the short-term. Our **FY26 and FY27 EPS were increased to \$64.73 and \$200.47 (37% and 60% above consensus) respectively**.

Investment Implications

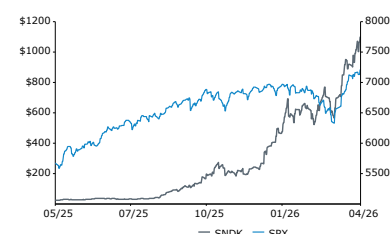
We increase our target price to \$1,700, still based on 11x our new 4-year through cycle (FY26-29) EPS. This implies 8.5x our FY27 EPS. **Reiterate Outperform, top ST pick.**

Adjusted EPS	F25A	F26E	F27E
SNDK (USD)	2.99	64.73	200.47
OLD	--	46.88	143.95

Financials	F25A	F26E	F27E	CAGR
CFO (M)	(11.00)	8,735	29,453	
EBIT (M)	(1,377)	11,284	35,329	
Revenues (M)	7,355	19,213	44,164	145.0%
Total Long-Term Assets	7,899.00	8,053.92	8,171.06	--

Close Date	30 Apr 2026			
SNDK Close Price (USD)	1,096.51			
Price Target (USD)	1,700.00			
Upside/(Downside)	55%			
52-Week Range	1,115.00/32.48			
SPX	7,209.01			
FYE	Jun			
Div Yield	NA			
Market Cap (USD) (M)	161,846			
EV (USD) (M)	158,111			
Performance	YTD	1M	6M	12M
Absolute (%)	361.9	58.3	450.1	3,264.6
SPX (%)	5.3	10.4	5.4	29.4
Relative (%)	356.6	47.9	444.7	3235.1
Source: Bloomberg, Bernstein estimates and analysis.				

Price Performance, 1YR



Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

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DETAILS

Sandisk reported FQ3'26 results yesterday after market close.

Sandisk delivered a broad-based beat in FQ3. Revenue was up 97% to \$5.95bn (vs. consensus \$4.72bn), driven by ASP up 140% QoQ while slightly offset by high teens bit shipment decline QoQ. The EPS of \$23.41 beat consensus and our “Blue Sky” bull case scenario ([Exhibit 2](#)).

- The company explained that the **bit decline** is primarily due to building inventory to support a strong QLC (high capacity NAND) rollout in Q4 and to prepare for the new LTAs. Bit shipments should return to growth in FQ4.
- The **impressive FQ3 ASP growth** of 140% beat our Blue Sky Scenario of 75%. As a result, **EPS came in at \$23.41** (vs. consensus at \$14.51), even higher than our Blue Sky estimates of \$17.47 outlined in our recent note: [Sandisk: How high can estimates and the stock go? Raising estimates and TP to \\$1,250, with blue-sky scenario at \\$3000](#).

FQ4 EPS guidance is conservative and reflects the new business model of LTAs (long term agreements). The company guided FQ4 EPS of \$30-33/share, above our estimate of \$25.3 and consensus of \$24.06 (but below our bull case of \$40.53). However, guidance implies a significant deceleration in ASP change to mid-to-high teens % QoQ. We attribute this to three reasons:

- **First, some ASP growth has been pulled forward into FQ3 due to the new LTAs.** SanDisk's 140% QoQ ASP growth in FQ3 significantly outperformed peers - Samsung and SK Hynix both saw smaller gains ([Exhibit 1](#)) - and we believe recently-signed LTAs are the key driver. Because these agreements lock in pricing upfront, SanDisk captured outsized ASP benefits in FQ3 that would otherwise have accrued gradually, leaving less incremental pricing upside for FQ4. Management's conservative FQ4 guide likely reflects this timing effect.
- **Second, and more importantly, we view the LTA shift as a net positive despite the near-term pricing moderation.** LTAs trade some incremental pricing upside for committed demand and reduced cyclicality - securing attractive economics over a longer horizon rather than maximizing any single quarter. In our view, durability of margins across the cycle is worth more than a higher ASP print in one quarter, making the trade-off clearly favorable.
- **Thirdly, conservatism:** Last quarter the company's guidance for FQ3 implied 50-55% ASP increase and they actually managed 140%. We believe that management is conservatively guiding as there is still a long way to go in the quarter.

Management has provided meaningful detail on SanDisk's multi-year supply partnerships, referred to as New Business Models (NBMs). These NBMs were positioned as a fundamental reshaping of the business model, aimed at reducing historical NAND cyclicality while supporting more durable, structurally higher earnings. Management also emphasized improved revenue visibility, along with more consistent margins and returns over time.

SanDisk has signed 5 multiyear partnerships in total — 3 in fiscal Q3 and 2 in Q4 — with active negotiations underway with additional customers. The 5 NBMs together are expected to account for over 1/3 of SanDisk's bits demand in FY2027, with that share expected to grow as more agreements are concluded. Contract durations vary, with the longest extending to 5 years, and volume commitments scale up over the life of the contracts under quarterly commitments and a mix of fixed and variable pricing.

The 3 contracts signed in Q3 alone represent minimum contractual revenue of approximately \$42 billion, which will be disclosed in the upcoming 10-Q. Each NBM contract is secured by financial guarantees designed to protect SanDisk if customers fail to fully perform on their purchase obligations. In aggregate, the **5 signed agreements include financial guarantees exceeding \$11 billion**, structured as prepayments and other financial instruments managed by third-party financial institutions. Of that total, \$0.4 billion in customer prepayments are already reflected on the Q3 balance sheet.

During our follow-up call, management confirmed that the \$42bn RPO reflects the minimum contract value, as it is calculated using pricing floors, effectively representing a worst-case scenario. This implies that, for the same 5 NBM, the \$42bn figure can only move higher from here, not lower. Regarding the \$11bn, this represents walk-away fees: if customers exit the contracts, SanDisk would still collect the \$11bn without delivering any product, with the proceeds flowing entirely through to gross margin.

Sandisk announced a \$6bn share repurchase authorization, effectively immediately with no expiration date, marking the start of its capital return program. Management framed capital allocation priorities as: first, continue investing in the business and strengthening supply chain resiliency; second, repay debt, which is now complete; and third, return excess cash to shareholders. While they did not commit to a specific buyback cadence or percentage of FCF, management noted the business is generating significant cash, that Capex needs to remain modest relative to revenue, and that lower cyclicality from the new LTAs should reduce the need for an unusually large cash cushion over time. The implication is that buybacks should become a more meaningful use of cash going forward, but execution will remain discretionary.

Based on the strong earnings, strong guidance, company commentary and the very strong pricing environment ***we increase our estimates again substantially*** - mainly due to stronger pricing in the short-term. Our ***FY26 and FY27 EPS were increased to \$64.73 and \$200.47 (37% and 60% above consensus) respectively.***

EXHIBIT 1: NAND read-across

Semicap Equipment		
Company	Date	Comments
Lam Research	4/22/2026	We expect to see growth in NAND investments throughout the remainder of the year as the industry converts to 256 layer and above Customers' fab utilization improved and investments showed a gradual recovery.
Tokyo Electron	4/30/2026	
NAND Maker		
Company	Date	Comments (Calendar quarter)
Samsung Electronics	4/30/2026	1Q26 (actual): ASP +high 80s% QoQ, Bits shipment +HSD% QoQ 2Q26 (guidance): bits shipment +LSD% QoQ
SK Hynix	4/22/2026	1Q26 (actual): ASP +mid 70s% QoQ, Bits shipment --~10% QoQ 2Q26 (guidance):bits shipment +Mid Teens%
Micron	3/18/2026	1Q26 (actual): ASP +high 70s% QoQ, Bits shipment +LSD% QoQ
SSD Controller		
Company	Date	Comments
Silicon Motion	4/29/2026	NAND prices continue to rise sharply with a sequential increase of about 55% to 60% in the first quarter of 2026.
Phison	2/13/2026	Pua reportedly said at least one foundry is demanding a three-year cash prepayment up front for capacity
End Market		
Company	Date	Comments
Everpure	2/25/2026	NAND component costs more than doubled in recent months. Implemented an average ~20% price increase across the product portfolio on Feb 9, 2026 - management noted this was the lowest increase in the industry. Q1 FY2027 product gross margins (ex-hyperscaler) expected at the lower end of the 65-70% range due to the unprecedented and sudden spike in NAND pricing. Long-standing NAND supply agreements help mitigate but do not eliminate significant input cost swings.
NetApp	2/26/2026	CEO George Kurian characterized the environment as "unprecedented inflation" in memory prices. Despite this, all-flash array revenue hit a record \$1.0B (+11% YoY), annualizing at \$4.2B. In response to memory price inflation, management has raised pricing and will work with suppliers to address availability and manage costs.
Dell	2/26/2026	Storage revenue \$4.8B, +2% YoY, with Dell IP demand outpacing market growth. Rising memory prices are flagged as a risk to profitability in both CSG and traditional servers; Dell is managing this by adjusting pricing quickly. Potential demand fluctuations in 2H FY27 cited as a risk due to component supply constraints.
HPE	3/9/2026	DRAM and NAND now make up over half of the BOM cost of a traditional server, and this share will continue to rise. Elevated prices expected to persist well into 2027. HPE implemented DRAM-related price increases starting November 2025, shortened quote commitment cycles, and amended quoting terms with the right to reprice existing orders before shipment. Actively steering demand toward lower memory configurations where appropriate in enterprise deployments.
Microsoft	4/29/2026	Raised FY2026 capex guidance to \$190B, with CFO Amy Hood citing \$25B of that directly attributable to rising component costs. In the on-premises server business, increased memory pricing is adding revenue in transactional purchasing, keeping Windows OEM revenue wider than normal.
Meta	4/29/2026	Raising FY2026 Capex guidance to \$135bn (midpoint, +\$10bn). Most of that is due to higher component costs, particularly memory pricing.

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 2: **Model New vs Old**

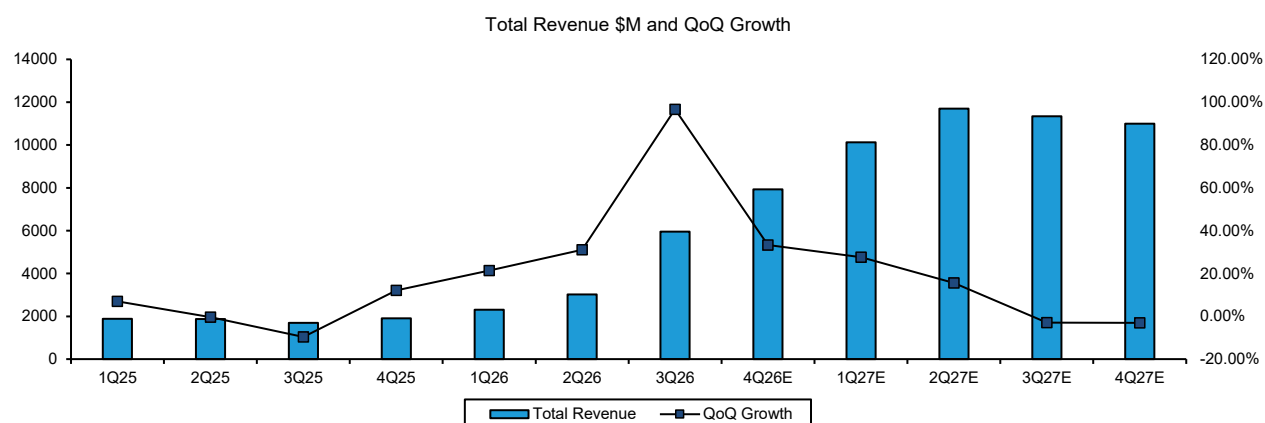
2026Q3					
(\$USD Millions)	New	Old	Delta	Consensus	Delta
Revenue	\$5,950	\$4,548	30.8%	\$4,720	26.1%
Gross Profit	\$4,666	\$3,041	53.5%	\$3,195	46.0%
<i>Gross Margin %</i>	78.4%	66.9%	1156bps	67.7%	1072bps
Op. Profit	\$4,218	\$2,579	63.6%	\$2,707	55.8%
<i>OP Margin %</i>	70.9%	56.7%	1419bps	57.4%	1353bps
Net Income	\$3,675	\$2,213	66.1%	\$2,312	58.9%
EPS (\$ per share)	\$23.41	\$14.18	65.1%	\$14.51	61.3%
Adj FCF	\$2,955	\$1,473	100.6%	\$1,677	76.2%

Source: Company reports, Bloomberg, Bernstein estimates and analysis

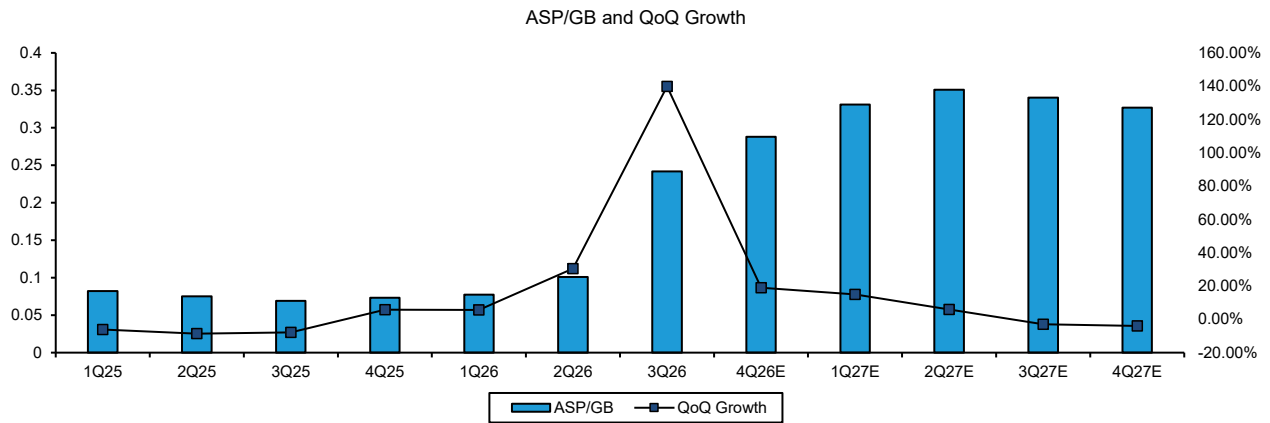
EXHIBIT 3: **SNDK Model Before vs After**

(\$USD Millions)	FY 2026E			FY 2027E			FY 2028E		
	New	Old	Delta	New	Old	Delta	New	Old	Delta
Revenue	\$19,213	\$15,145	26.9%	\$44,164	\$25,766	71.4%	\$45,595	\$26,601	71.4%
Gross Profit	\$13,379	\$9,020	48.3%	\$37,718	\$19,296	95.5%	\$38,864	\$19,845	95.8%
<i>Gross Margin %</i>	69.6%	59.6%	1008bps	85.4%	74.9%	1052bps	85.2%	74.6%	1063bps
Op. Profit	\$11,664	\$7,206	61.9%	\$35,583	\$16,794	111.9%	\$36,330	\$16,848	115.6%
<i>OP Margin %</i>	60.7%	47.6%	1313bps	80.6%	65.2%	1539bps	79.7%	63.3%	1634bps
Net Income	\$10,140	\$6,118	65.8%	\$31,206	\$14,656	112.9%	\$31,680	\$14,901	112.6%
EPS (\$ per share)	\$64.73	\$38.92	66.3%	\$200.47	\$90.96	120.4%	\$202.69	\$92.48	119.2%
Adj FCF	\$8,415	\$5,806	44.9%	\$29,133	\$21,241	37.2%	\$31,110	\$22,416	38.8%

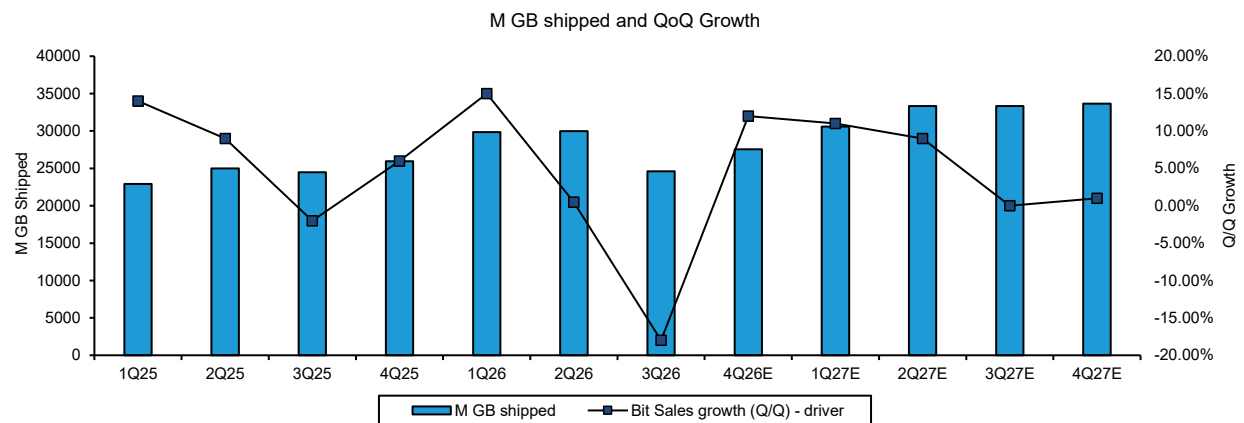
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 4: **Total Revenue \$M and QoQ Growth**

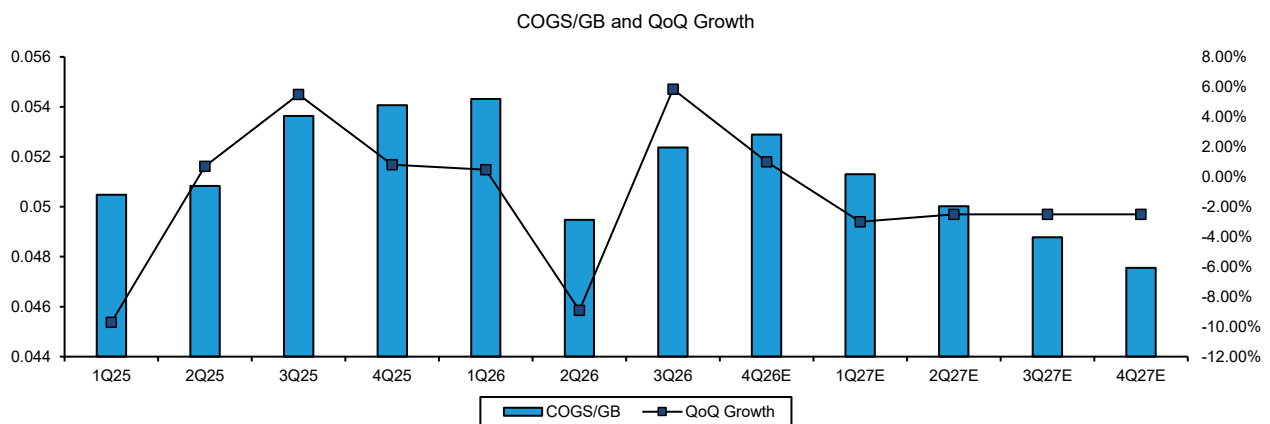
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 5: **ASP/GB and QoQ Growth**

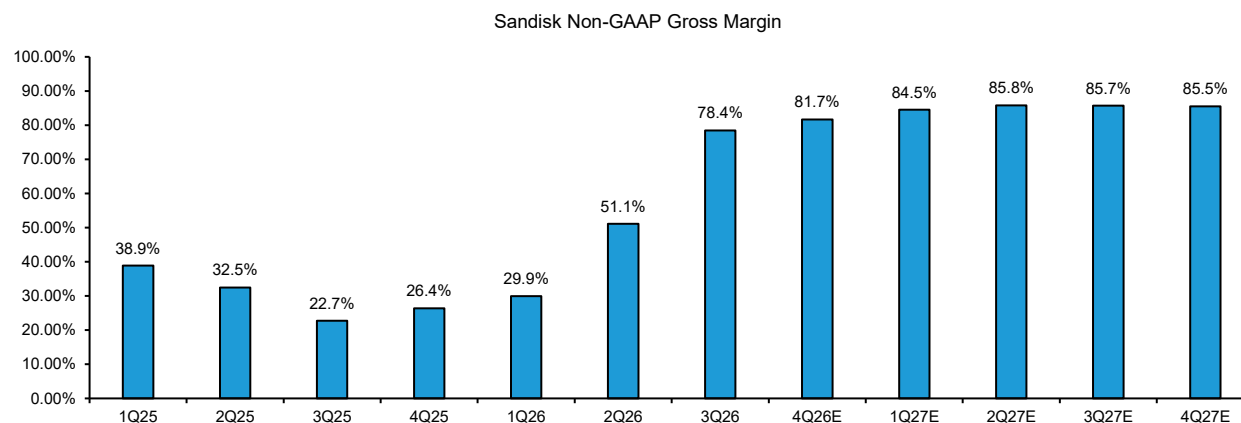
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 6: **M GB Shipped and QoQ Growth**

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 7: **COGS/GB**

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 8: **Non-GAAP Gross Margin**

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 9: **Bernstein vs. Consensus**

SNDK	FY26E	FY27E	FY28E
Total Revenues (\$M)			
Consensus	\$17,076	\$34,171	\$33,614
Bernstein Est.	\$19,213	\$44,164	\$45,595
<i>Bernstein vs. Cons.</i>	12.5%	29.2%	35.6%
Company GMs	62.2%	75.1%	73.3%
vs. Bernstein	69.6%	85.4%	85.2%
Opex (\$M)	\$1,833	\$2,271	\$2,422
vs. Bernstein	\$1,715	\$2,135	\$2,535
Non-GAAP EPS (\$)			
Consensus	\$47.12	\$125.03	\$115.59
Bernstein Est.	\$64.73	\$200.47	\$202.69
<i>Bernstein vs. Cons.</i>	37.4%	60.3%	75.3%
FCF (\$)			
Consensus	\$6,573	\$20,100	\$19,476
Bernstein Est.	\$8,415	\$29,133	\$31,110
<i>Bernstein vs. Cons.</i>	28.0%	44.9%	59.7%

Source: Bloomberg, Bernstein estimates and analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 10: SNDK Income Statement

	1Q26	2Q26	3Q26	4Q26E	2025E	2026E	2027E	2028E
Consolidated Income Statement								
Revenues	2,308	3,025	5,950	7,930	7,355	19,213	44,164	45,595
COGS	1,621	1,484	1,288	1,457	5,143	5,850	6,462	6,746
Gross Profit	687	1,541	4,662	6,473	2,212	13,363	37,702	38,848
SG&A	179	139	161	171	573	650	735	831
R&D	316	327	337	371	1,132	1,351	1,637	1,965
Restructuring/Impairment and other	16	10	53	-	1,884	79	-	-
Operating Profit	176	1,065	4,111	5,932	(1,377)	11,284	35,329	36,053
Non-operating Income	-	-	-	-	-	-	-	-
Interest income (expense), net	(24)	(13)	6	10	(41)	(21)	40	40
Other income (expense), net	(28)	(115)	(10)	-	(61)	(153)	-	-
Non-recurring gain (loss), net	-	-	-	-	-	-	-	-
Earnings Before Tax	124	937	4,107	5,942	(1,479)	11,110	35,369	36,093
Income Tax (Benefit)	12	134	492	712	162	1,350	4,598	4,692
Net Income	112	803	3,615	5,230	(1,641)	9,760	30,771	31,401
Non-GAAP net income (loss)	181	967	3,675	5,317	440	10,140	31,206	31,680
Non-GAAP EPS	1.22	6.20	23.41	33.90	2.99	64.73	200.47	202.69
%GM (Non-GAAP)	29.9%	51.1%	78.4%	81.7%	30.3%	69.6%	85.4%	85.2%
%OP(Non-GAAP)	11%	37%	71%	76%	9%	60%	81%	80%
Drivers								
Non-GAAP Opex	446	413	448	487	1,539	1,781	2,135	2,516
GAAP Opex	511	476	551	541	3,589	2,000	2,373	2,796
Stock-based compensation	65	63	103	54	2,050	219	237	280
SBC as % of total Opex	12.7%	13.2%	18.7%	10.0%	57.1%	11.0%	10.0%	10.0%
Total Non-GAAP adjustments	68	159	37	54	2,094	161	237	280
Non-GAAP adjustments as % of GAAP net income	60.9%	19.8%	1.0%	1.0%	-127.6%	1.7%	0.8%	0.9%

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 11: **SNDK Balance Sheet**

Consolidated Balance Sheet	1Q26	2Q26	3Q26	4Q26E	2025E	2026E	2027E	2028E
Cash and cash equivalents	1,442	1,539	3,735	7,993	1,481	7,993	40,277	59,843
Short-term marketable securities	-	-	-	-	-	-	-	-
Receivables	1,193	1,239	2,726	3,633	1,068	3,633	5,040	5,203
Inventories	1,907	1,970	2,238	2,532	2,079	2,532	2,781	2,904
Other Current Assets	442	402	469	469	458	469	469	469
Current Assets	4,984	5,150	9,168	14,627	5,086	14,627	48,567	68,419
	-	0	0	0	0	0	0	0
Long-term marketable securities	-	-	-	-	-	-	-	-
Notes receivable and investments in Flash Ventures	602	677	684	684	654	684	684	684
Property, plant & equipment	630	631	649	796	619	796	913	1,090
Intangible Assets	-	-	-	-	-	-	-	-
Goodwill	4,998	4,995	4,994	4,994	4,999	4,994	4,994	4,994
Other Non-current Assets	1,535	1,545	1,580	1,580	1,627	1,580	1,580	1,580
Non-Current Assets	7,765	7,848	7,907	8,054	7,899	8,054	8,171	8,348
Total Assets	12,749	12,998	17,075	22,681	12,985	22,681	56,738	76,767
	-	-	-	-	-	-	-	-
Accounts Payables	884	869	851	963	766	963	1,058	1,220
Long-term debt	1,331	583	-	-	1,829	-	-	-
Other Liabilities	1,153	1,333	2,447	2,447	1,174	2,447	2,447	2,447
Total Liabilities	3,368	2,785	3,298	3,410	3,769	3,410	3,505	3,667
	-	-	-	-	-	-	-	-
Common stock	11,287	11,337	11,290	11,144	11,249	11,144	8,468	5,664
Retained earnings	(1,672)	(869)	2,746	7,976	(1,784)	7,976	38,747	70,148
AOCI and other	(234)	(255)	(259)	(249)	(249)	(249)	(209)	(199)
Total shareholders' equity	9,381	10,213	13,777	18,871	9,216	18,871	47,006	75,614
Minority interest	-	-	-	-	-	-	-	-
Total Equity	9,381	10,213	13,777	18,871	9,216	18,871	47,006	75,614
Total Liabilities and Equity	12,749	12,998	17,075	22,281	12,985	22,281	50,511	79,280

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 12: **SNDK Cash Flow Statement**

Consolidated Cash Flow Statement	1Q26	2Q26	3Q26	4Q26E	2025E	2026E	2027E	2028E
Working capital	-	-	-	-	-	-	-	-
Working capital assets	5,077	5,156	7,013	8,214	5,232	8,214	9,870	10,156
Working capital liabilities	2,037	2,202	3,298	3,410	1,940	3,410	3,505	3,667
Net working capital	3,040	2,954	3,715	4,804	3,292	4,804	6,365	6,489
Cash flows from operating activities	-	-	-	-	-	-	-	-
Net income	112	803	3,615	5,230	(1,641)	9,760	30,771	31,401
Add: Depreciation	36	38	38	39	73	151	203	223
Add: Amortization	-	-	-	-	-	-	-	-
Less: Net gain/(loss) on investments/others	90	115	103	10	1,896	318	40	10
Changes in net working capital:	250	63	(718)	(1,089)	107	(1,494)	(1,561)	(124)
Net cash from operating activities	488	1,019	3,038	4,190	(11)	8,735	29,453	31,510
Cash flows from investing activities	-	-	-	-	-	-	-	-
Net acquisition of marketable securities	-	-	-	-	-	-	-	-
Fusion-IO net of cash	-	-	-	-	-	-	-	-
Non-JV PP&E	(50)	(39)	(45)	(186)	(156)	(320)	(320)	(400)
Net (contributions to) / distributions from JVs with Tos	-	-	-	-	-	-	-	-
Net (contributions to) / distributions from other JVs	-	-	-	-	-	-	-	-
Acquisition of intangible assets	-	-	-	-	-	-	-	-
Proceeds from dispositions of businesses	25	-	-	-	-	-	-	-
Notes receivable issuances to Falsh Ventures	(87)	(169)	(83)	-	-	-	-	-
Notes receivable proceeds from Flash Ventures	97	32	45	-	-	-	-	-
Net cash from investing activities	(15)	(165)	(83)	(186)	(156)	(320)	(320)	(400)
Cash flows from financing activities	-	-	-	-	-	-	-	-
Issuance of stock under employee stock plans	-	-	-	-	-	-	-	-
Repayment of debt	-	24	-	-	-	-	-	-
Payment of dividends	-	-	-	-	-	-	-	-
Net increase (decrease) in debt / Other	-	-	-	-	1,829	(1,829)	-	-
Net stock issuance and buybacks	-	-	-	254	11,249	(299)	(5,589)	(2,804)
Others	(15)	(32)	(102)	-	-	-	-	-
Net cash from financing activities	(515)	(758)	(752)	254	13,078	(2,128)	(5,589)	(2,804)
FX effect from foreign currency denominated cash	3	1	(7)	-	-	-	-	-
Net increase in cash and cash equivalents	(39)	97	2,196	4,258	12,911	6,287	23,544	28,307
Cash and cash equivalents at beginning of year	1,481	1,442	1,539	3,735	-	1,481	7,993	31,537
Cash and cash equivalents at end of the year	1,442	1,539	3,735	7,993	1,481	7,993	31,537	59,843
Check:	-	-	-	-	-	-	-	-
Free cash flow	438	980	2,993	4,004	(167)	8,415	29,133	31,110
Activity related to Flash Ventures, net	10	(137)	(38)	-	-	-	-	-
Adjusted free cash flow	448	843	2,955	4,004	(167)	8,415	29,133	31,110
FCF Conversion	391%	122%	83%	77%	10%	86%	95%	99%
Operating Profit Conversion	255%	79%	72%	67%	12%	75%	82%	86%

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	30 Apr 2026		TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price	Price Target		Cur	2025A	2026E	2027E	2025A	2026E	2027E
SNDK (SanDisk)	O	USD	1,096.51	1,700.00	3235.1%	USD	2.99	64.73	200.47	366.7	16.9	5.5
OLD				1,250.00				46.88	143.95			
SPX			7,209.01									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**SanDisk Corp**

We value SanDisk at \$1700 on 11x our 4-year through cycle (FY26-29) EPS. This implies 8.5x our FY27 EPS.

RISKS**SanDisk Corp**

The biggest risks to the downside on SanDisk and to our price target are that: 1) Near-term numbers look high and face cyclical downside from NAND; 2) SNDK's disclosures and broader investor communications have been confusing, potentially dissuading more quality-focused investors; and 3) NAND weakness could extend beyond the current cycle and be more structural, in which case SanDisk's DCF value could be structurally lower and the impaired value of its assets may be materially below replacement cost.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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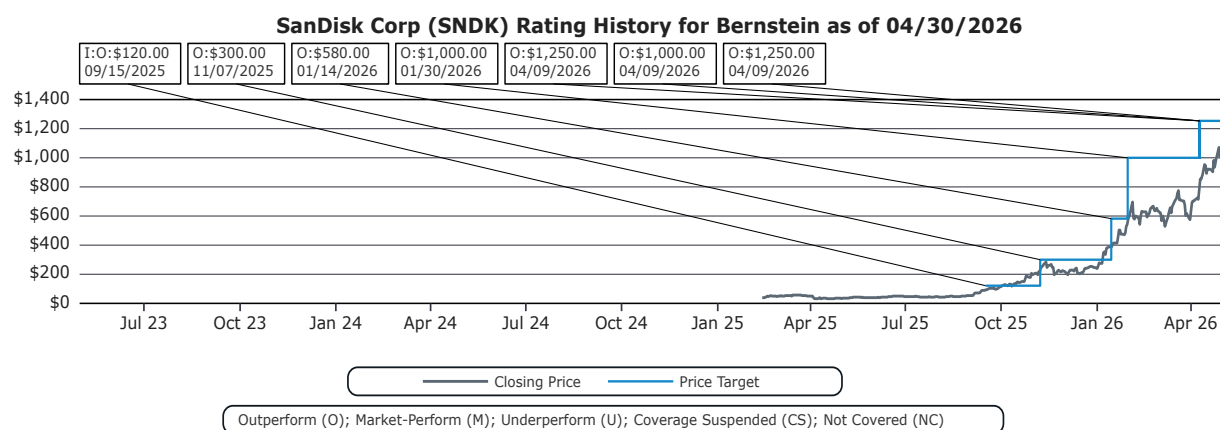
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Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	36.3%	17.8%
Underperform	SELL	12.6%	14.9%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
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